

DIGITAL ECOSYSTEM FOR MUSIC ENTERTAINMENT OPTIMIZATION: *SAREGAMA* PLATFORM

Course Name: Digital Ecosystems

Course Code: 24INFS7021

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November 2025

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Executive Summary

This report describes the detailed design of a digital ecosystem for SAREGAMA, India's oldest music label, to transform its traditional Catalogue-based business model into a dynamic, multi-sided platform. In the proposed ecosystem, artists, listeners, distributors, advertisers, and content creators will be engaged through an API-driven architecture aimed at optimizing music discovery, consumption, and monetization while preserving the heritage value of SAREGAMA.

1. INTRODUCTION AND INDUSTRY CONTEXT

1.1 Industry Overview

The global music streaming market reached a value of \$28.6 billion in 2024, with India emerging as one of the fastest-growing markets. Several transformative challenges lay before the industry:

- **Fragmented Value Chains:** Artists, labels, distributors, and platforms operate in silos, creating inefficiencies.
- **Monetization Pressures:** Per-stream revenues remain low despite growing consumption.
- **Discovery Challenges:** Large Catalogues make it difficult for listeners to find relevant content.
- **Rights Management Complexity:** Multi-layered licensing creates administrative burdens.
- **Regional Content Gap:** Growing demand for regional and vernacular content in addition to mainstream music.

1.2 SAREGAMA's Strategic Position

SAREGAMA possesses unique assets for platform leadership:

- **Heritage Catalogue:** Over 130,000 songs spanning 100+ years across 25 languages
- **Multi-Format Presence:** Physical products (Carvaan), streaming apps, and licensing
- **Brand Legacy:** Trusted name associated with quality and nostalgia
- **Cross-Generational Appeal:** Content spanning classical to contemporary music

1.3 Platform Vision

Transform SAREGAMA from being a pure content owner to an 'Intelligent Music Ecosystem Orchestrator' that:

- Connects multiple stakeholder groups in value-creating interactions
- Leverages AI for personalized discovery and Catalogue optimization
- Enables new revenue streams through data-driven insights
- Democratizes music creation and distribution for emerging artists
- Preserves cultural heritage while driving innovation

2. PLATFORM ARCHITECTURE

2.1 Architectural Overview

The SAREGAMA digital ecosystem follows a modular, API-first architecture with the following five core layers:

Layer 1: Data Foundation Layer

- Music Catalogue Database: Metadata-enriched repository of SAREGAMA's Catalogue
- User Behavioural Data Lake: Streaming patterns, preferences, engagement metrics
- Rights Management Ledger: Blockchain-based smart contracts for royalty tracking
- Cultural Context Engine: Regional, linguistic, and mood-based classification

Layer 2: Core Platform Services

- Identity & Access Management: Single sign-on across different types of stakeholders
- Content Delivery Network: Geo-distributed streaming infrastructure
- Recommendation Engine: AI-powered personalization using collaborative filtering
- Analytics & Insights Service: Real-time dashboards for all stakeholders
- Payment & Settlement System: Automated royalty distribution

Layer 3: API Gateway Layer

- Public APIs: Enable third-party integrations (streaming platforms, apps)
- Partner APIs: B2B integrations with advertisers, distributors, brands
- Creator APIs: Tools for artists to upload, manage, and analyse content
- Consumer APIs: Mobile/web applications for end-users

Layer 4: Application Layer

- SAREGAMA Streaming App: Direct-to-consumer platform
- Artist Portal: Creation, distribution, and analytics dashboard
- Business Intelligence Suite: Stakeholder-specific reporting tools

- Licensing Marketplace: Self-service rights licensing platform

Layer 5: Integration Layer

- External Streaming Platforms: Spotify, Apple Music, YouTube Music via APIs
- Social Media Integration: TikTok, Instagram, YouTube for viral discovery
- IoT integrated smart device ecosystem: Alexa, Google Home, automotive
- Payment Gateways: Multiple payment methods including UPI, wallets, cards

2.2 API and Data Flow Design



Key Data Flows:

- **Content Ingestion Flow:** Artist → Upload API → Quality Check → Metadata Enrichment → Rights Assignment → Catalogue Publication → Distribution
- **Discovery Flow:** User Profile → Behavioural Analysis → Recommendation Algorithm → Catalogue Query → Personalized Playlist → Streaming
- **Monetization Flow:** Stream Event → Usage Tracking → Revenue Attribution → Royalty Calculation → Smart Contract Execution → Payment Distribution
- **Licensing Flow:** License Request → Catalogue Search → Rights Verification → Quote Generation → Contract Management → Usage Monitoring

2.3 Technology Stack

- **Backend:** Microservices architecture (Node.js, Python for ML)
- **Database:** PostgreSQL (relational), MongoDB (Catalogue), Redis (caching)
- **Streaming:** HLS/DASH protocols via AWS CloudFront
- **AI/ML:** TensorFlow for recommendation, NLP for metadata enrichment
- **Blockchain:** Hyperledger Fabric for rights management
- **Mobile:** React Native for cross-platform apps
- **Analytics:** Elasticsearch, Kibana for real-time dashboards

3. STAKEHOLDER ROLES AND VALUE FLOWS

3.1 Stakeholder Ecosystem Map

The platform creates a multi-sided marketplace connecting six primary stakeholder groups:

3.1.1 Content Creators (Artists, Composers, Lyricists)

Platform Interactions:

- Upload original content directly to SAREGAMA Catalogue
- Access real-time analytics on streams, demographics, engagement
- Participate in collaborative creation opportunities
- Leverage platform tools for music production and mastering

Value Received:

- Broader distribution reach without intermediaries
- Transparent, faster royalty payments (reduced from 90 days to 7 days)

- Data insights to refine creative strategy
- Marketing support through platform promotion algorithms
- Production assistance through AI-powered tools

Value Provided:

- Fresh content that attracts listeners
- Catalogue diversification across genres and languages
- Authentic engagement with fan base

3.1.2 Listeners (Individual Consumers)

Platform Interactions:

- Stream music across devices with personalized recommendations
- Create and share playlists.
- Participate in community features (reviews, comments)
- Access exclusive content and live sessions
- Discover heritage content with contextual storytelling

Value Received:

- Curated listening experiences tailored to preferences
- Access to vast Catalogue including rare/heritage content
- Cultural enrichment through documented music history
- Ad-free or subsidized listening options
- Social connectivity through music

Value Provided:

- Subscription/usage revenue
- Behavioural data for recommendation improvement
- Content promotion through social sharing
- Engagement that attracts advertisers

3.1.3 Distributors (Streaming Platforms, Radio, TV)

Platform Interactions:

- License SAREGAMA Catalogue via API integration
- Access metadata and promotional assets

- Receive curated playlists and thematic collections
- Get data insights on content performance

Value Received:

- High-quality, diverse content Catalogue
- Simplified licensing through single API
- Marketing-ready content packages
- Competitive differentiation through exclusive content windows

Value Provided:

- Extended reach for SAREGAMA content
- Revenue share from streams
- User data (aggregated) for platform improvement
- Co-marketing opportunities

3.1.4 Advertisers and Brands

Platform Interactions:

- Purchase targeted audio/display advertising inventory
- Sponsor playlists, artists, or events
- Access listener demographic and behavioural insights
- Create branded content collaborations

Value Received:

- Access to engaged, segmented audiences
- Association with quality content and heritage brand
- Performance analytics for campaign optimization
- Brand-safe environment

Value Provided:

- Advertising revenue subsidizing listener access
- Sponsorship funds for creating content.
- Co-branded promotional activities

3.1.5 Content Curators (Playlist Creators, Influencers)

Platform Interactions:

- Create thematic or mood-based playlists
- Earn recognition and revenue from popular playlists
- Access advanced Catalogue search and discovery tools
- Collaborate with artists on promotional activities

Value Received:

- Revenue sharing from playlist streams
- Platform visibility and followers growing for the app.
- Early access to new releases
- Creator recognition program which will motivate them to collaborate with us.

Value Provided:

- Enhanced content discovery and organization
- Community building and engagement
- Cultural context and expertise
- Marketing amplification

3.1.6 B2B Partners (Films, OTT Platforms, Gaming, Retail)

Platform Interactions:

- License music for synchronization (films, shows, games)
- Integrate music functionality into products (retail, hospitality)
- Access API for in-app music features
- Collaborate on co-branded experiences

Value Received:

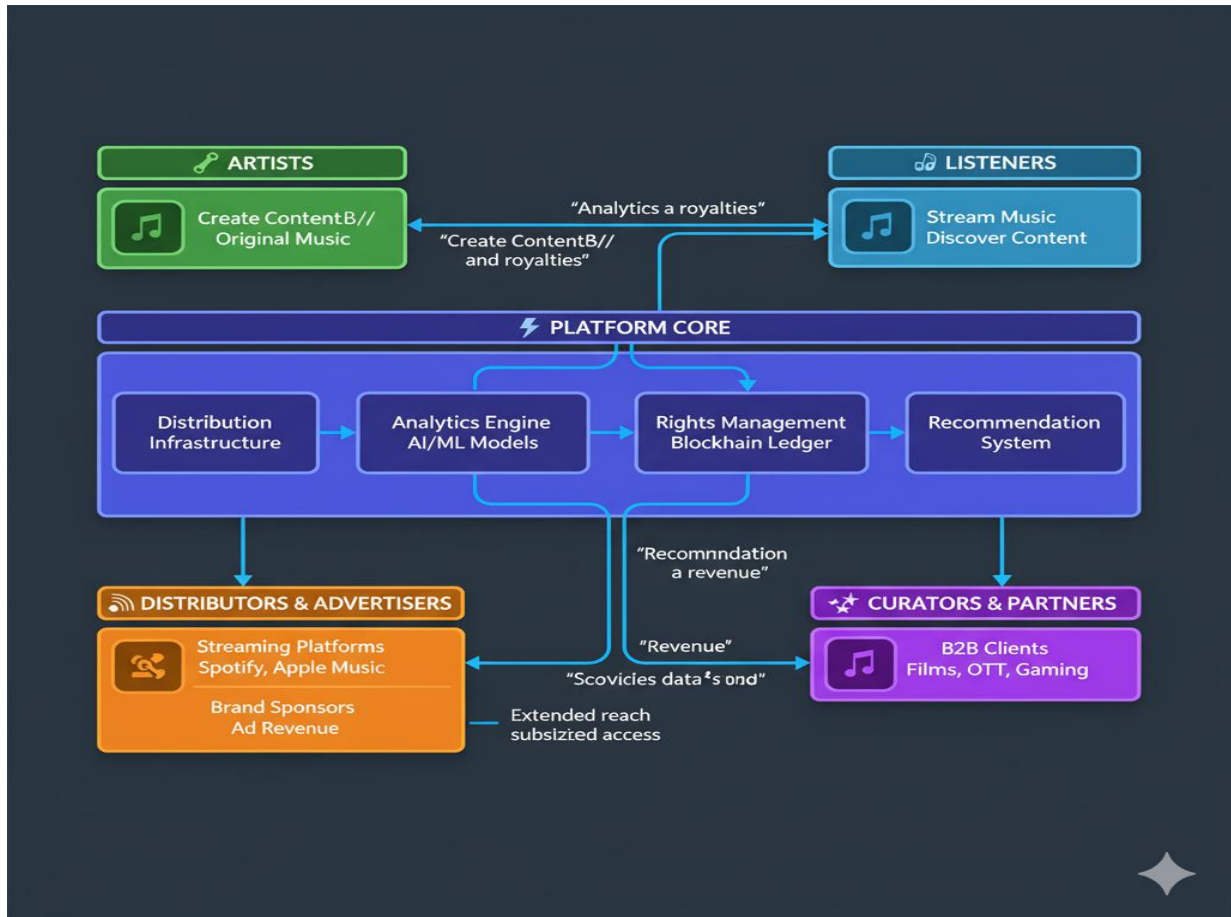
- One-stop licensing marketplace
- Rapid clearance and rights management
- Competitive pricing with transparent terms
- Technical integration support

Value Provided:

- Licensing revenue

- Extended use-cases for Catalogue
- Brand partnerships
- Data on music usage in different contexts

3.2 Value Flow Diagram



3.3 Network Effects

The platform generates multiple reinforcing network effects:

- **Same-Side Effects:** More listeners → Better recommendations → More listener engagement
- **Cross-Side Effects:** More listeners → More advertiser interest → Lower subscription costs → More listeners
- **Data Network Effects:** More usage → Better AI models → Improved discovery → More satisfied users
- **Content Network Effects:** More artists → Diverse Catalogue → Attracts niche audiences → Attracts more niche artists

4. MONETIZATION MODEL

4.1 Revenue Stream Architecture

The platform employs a hybrid monetization strategy with seven distinct revenue streams:

4.1.1 Consumer Subscriptions (35% of revenue)

- Freemium Tier: Ad-supported, limited skips, standard quality
- Premium Individual (₹99/month): Ad-free, unlimited skips, HD audio, offline downloads
- Premium Family (₹149/month): 6 accounts, parental controls
- Premium Student (₹49/month): Verified student discount
- SAREGAMA Heritage Plus (₹199/month): Exclusive archive content, lossless audio, curated collections with historical context

Pricing Strategy: Competitive with Spotify/Apple Music while offering differentiated heritage content at premium tiers.

4.1.2 Advertising Revenue (25% of revenue)

- Audio Ads: 15-30 second spots for free-tier users (CPM model)
- Display Ads: Banner ads in mobile apps and web player
- Video Ads: Pre-roll ads for video content (live sessions, music videos)
- Sponsored Playlists: Brand-sponsored curated playlists
- Native Content: Branded artist collaborations and content

Targeting Capabilities: Demographics, listening behaviour, mood/context, geographic location.

4.1.3 Licensing and Sync Rights (20% of revenue)

- Streaming Platform Licensing: Per-stream royalties from Spotify, Apple Music, YouTube
- Synchronization Licensing: Music for films, TV shows, web series, advertisements
- Public Performance Licensing: Restaurants, retail stores, events
- Cover Song Licensing: Automated licensing through mechanical rights API

Innovation: Self-service licensing marketplace with instant quotes and digital contracts

4.1.4 Artist Services and Tools (8% of revenue)

- Distribution Services: ₹999/album for independent artists to distribute across all platforms
- Production Tools: AI-powered mastering (₹299/song), mixing assistance
- Marketing Packages: Playlist placement, social media promotion (₹4,999-₹49,999)
- Analytics Premium: Advanced insights and competitive benchmarking (₹2,999/month)

4.1.5 Data and Insights (5% of revenue)

- Market Research: Anonymized trend reports for record labels and brands
- Cultural Intelligence: Regional music consumption patterns for businesses expanding to new markets
- Predictive Analytics: Hit prediction models for film producers and labels
- Competitive Intelligence: Benchmarking data for industry stakeholders

4.1.6 Live Events and Experiences (4% of revenue)

- Virtual Concerts: Ticketed live-streaming events with interactive features
- Exclusive Sessions: Intimate performances for premium subscribers
- Festival Partnerships: Co-branded events leveraging platform data for lineup curation
- Heritage Tours: Audio-guided musical heritage experiences (physical/virtual)

4.1.7 B2B Platform Licensing (3% of revenue)

- White-Label Solutions: Technology licensing for other regional music platforms
- Enterprise Music Solutions: Curated music for offices, retail, hospitality
- API Licensing: Charged API access for high-volume commercial use
- Smart Device Integration: Revenue share from device manufacturers (Carvaan, smart speakers)

4.2 Revenue Projection and Unit Economics

Year 1 Targets:

- Users: 5 million registered, 500K paid subscribers
- Monthly Revenue per User (ARPU): ₹8 (blended freemium + paid)
- Annual Platform Revenue: ₹480 million

Unit Economics (Per Paid Subscriber):

- Monthly Subscription: ₹99
- Content Costs (royalties): ₹45 (45%)
- Platform Operations: ₹20 (20%)
- Marketing & Acquisition: ₹15 (15%)
- Contribution Margin: ₹19 (19%)
- Customer Acquisition Cost: ₹300
- Payback Period: 16 months

Revenue Distribution Strategy:

- Artists/Rights Holders: 55% of content revenue
- Platform Operations: 25%
- Marketing & Growth: 12%
- Technology Development: 8%

4.3 Dynamic Pricing and Personalization

The platform employs algorithmic pricing strategies:

- Geo-Based Pricing: Adjusted subscription rates for tier 2/3 cities
- Behavioural Pricing: Personalized upgrade offers based on usage patterns
- Seasonal Campaigns: Festival-specific bundles (Diwali, Holi collections)
- Loyalty Rewards: Long-term subscriber discounts and benefits

5. GOVERNANCE AND COMPLIANCE STRATEGY

5.1 Rights Management Framework

Challenge: Managing complex, multi-party rights across composers, lyricists, performers, and labels.

Solution Architecture:

- **Blockchain-Based Rights Ledger**
 - Smart contracts automatically distribute royalties based on pre-defined splits
 - Immutable ownership records preventing disputes
 - Real-time settlement reducing payment delays from months to days
- **Automated Royalty Calculation Engine**

- Per-stream tracking with attribution to all rights holders
- Territory-specific rate management
- Multiple licensing type support (mechanical, performance, sync)
- **Rights Verification Protocol**
 - Pre-publication checks against existing rights databases
 - Integration with IPRS, PPL, and international CMOs
 - Dispute resolution workflow with arbitration mechanisms

5.2 Regulatory Compliance

Copyright Compliance:

- DMCA takedown procedures for user-generated content
- Proactive content ID matching to prevent unauthorized uploads
- Licensing agreements with collecting societies (IPRS, PPL, IPRS)
- Regular audits and reporting to rights management organizations

Data Protection (GDPR, DPDP Act 2023):

- User consent management for data collection and usage
- Right to data portability and deletion
- Anonymization of data used for analytics and sharing
- Geographic data residency compliance (India data stored in India)

Financial Compliance:

- Compliance to PCI-DSS for payment processing
- Automation of GST collection and remittance
- Foreign Exchange Management Act (FEMA) compliance for international transactions
- KYC/AML compliance for creator payments

Content Moderation:

- AI-powered pre-screening for explicit content
- Community reporting mechanisms
- Clear content policies prohibiting hate speech, violence
- Regional compliance with local content regulations

5.3 Platform Governance Model

Stakeholder Council

- Quarterly meetings with representatives from artists, listeners, distributors
- Input on platform policies, fee structures, and feature priorities
- Advisory role in resolving ecosystem conflicts

Transparency Commitments

- Published royalty calculation methodology
- Public API usage policies and rate limits
- Annual transparency reports on content moderation and data requests
- Open-source key platform components (recommendation algorithms)

Ethical AI Governance

- Bias audits for recommendation algorithms (ensuring diverse representation)
- Explainability requirements for artist-facing analytics
- Human oversight for high-stakes decisions (content removal, account suspension)
- Regular third-party audits of AI systems

Creator Protection Measures

- Minimum payment thresholds to ensure economic viability
- Protection against manipulation of streaming metrics
- Rights management and platform optimization education programs
- Ombudsman for creator grievances

5.4 Content Moderation and Safety

Three-Tier Moderation:

- **Automated Screening:** AI detection of explicit content, copyright infringement
- **Community Flagging:** User reporting with priority review queue
- **Human Review:** Specialized team for nuanced cultural/contextual decisions

Appeal Process:

- Clear communication of moderation decisions with specific policy violations
- Right to appeal with 48-hour review commitment
- Independent arbitration for disputed removals

6. SCALABILITY AND SUSTAINABILITY PLAN

6.1 Technical Scalability

Infrastructure Plan

- **Phase 1 (Year 1-2): Laying the Groundwork**
 - Cloud-native setup on AWS / Azure with an auto-scaling strategy.
 - 10 million monthly active users (MAU) is the aspiration.
 - Geo-Scope: India, all states.
 - Tech Scope: Micro-services with horizontal scaling enabled.
- **Phase 2 (Year 3-4): Scaling with Region additions.**
 - Launch across several regions for South Asia, Middle East.
 - 50 million MAU is the aspiration.
 - Geo-Scope: However, we would also globally optimize the networking and CDN for latency.
 - Tech Scope: Kubernetes orchestration, serverless functions.
- **Phase 3 (Year 5+): Global Scale**
 - Operate in how many regions <50 countries with a partner network that can help grow that.
 - 100M+ MAU is the aspiration.
 - Geo-Scope: Personalization w/edge computing.
 - Tech Scope: multi-cloud strategy, streaming optimization with tech that supports better 5G rollout for closed / live captioning.

Performance Targets:

- API response time: <200ms (p95)
- Video streaming start time: <2 seconds
- Rec's latency: <500m
- System Uptime: 99.95%

6.2 Growth Potential for the Business

Geographic Diversification Strategy:

- **Tier 1:** India (Done) → Bangladesh, Pakistan, Sri Lanka
 - Using existing language Catalogue
 - Receive support from the local Telecom operator

- **Tier 2:** Middle East, East Africa
 - Indian diaspora markets
 - Bollywood/regional music ear
- **Tier 3:** Global markets (US, UK, Canada)
 - Position heritage Catalogue as a premium offering
 - Partnerships with cultural organizations

Catalogue Development:

- Digitize remaining 50K+ non-digital recordings in archives
- Partner with regional labels for Catalogue aggregation
- Invest in emerging artist discovery programs: designated 1000 new artists/year
- Expanding into adjacent content: podcasts, audiobooks, meditation content

Partner Scalability:

- API first architecture to support quick partnerships
- Self-serve onboarding for distributors and advertisers
- Revenue-sharing incentives in service of the growth of the ecosystem
- Co-development programs with technology partners (5G, AI, IoT)

6.3 Sustainability

Carbon-neutral streaming:

- Data centres powered by renewable energy (100% by 2027)
- Efficient encoding that will reduce bandwidth by 30%
- Carbon offset programs for emissions due to infrastructure
- Green certification for those users who are sustainability conscious

Cultural sustainability:

- Heritage preservation fund: 2% of revenue dedicated to digitizing music that is endangered
- Supporting regional languages: Fund 50+ languages and dialects
- Supported folk artist program: Grants to and positioning on the platform to access traditional musicians
- Educational Content: Telling the stories behind the recordings.

6.4 Financial Viability

Journey to Turning a Profit:

- Year 1 - Investment phase - ₹ (150,000,000) - Construct platform and build Catalogue, user-acquisition.
- Year 2 - Growth phase - ₹ (50,000,000) - Achieve scale with better CAC.
- Year 3 - Break-even with 10M users and 8% paid conversion.
- Year 4+ - Salary with 20M+ active users and optimized unit economics.
- Financial Sustainability Metrics:
 - Churn - <5% month-over-month or less for paid subscribers.
 - Customer Lifetime Value - >₹ (2,500)
 - Customer Acquisition Cost - <₹ (300)
 - 8:1 LTV: CAC or better
 - 60% gross margin or greater after content costs.

Reduce Risk:

- Diverse revenues to reduce reliance on subscriptions.
- Long-term exclusive licensing deals to access Catalogue.
- Construct defensible moats via technology IP/ patents.
- Strategic investor partnerships to runways for finances.

6.5 Ecosystem Health Metrics

Platform success tracking with balanced scorecard

Listener Metrics:

- Monthly Active Users, Listening Hours, Retention Rate,
- Net Promoter Score, Playlist Creation Rate

Creator Metrics:

- Artists pulling >₹10k/per month,
- Average time taken to make first ₹1k
- Creator Satisfaction Metric, Content Upload Rate

Platform Metrics:

- Top line growth, gross margin, operational efficiency,
- API uptime, recommendation accuracy

Social Impact Metrics:

- Heritage Content Preservation – Songs digitized (Per year)
- Representation of Regional languages – % of non-hindi content
- Success Stories of Emerging Artists – Artists who have been successful through Platform

7. CONCLUSION

The digital platform SAREGAMA seeks to elevate a traditional music label into an active, multi-sided platform adding value to various stakeholders while honoring the permanence of Indian music heritage. SAREGAMA can establish leadership status in the fast-evolving world of music entertainment by creating intelligent design, transparent governance and sustainable business models.

Key Differentiators:

- Heritage-Innovation Balance: Unique combination of archival depth and contemporary technology
- Artist-Centric Design: Fair compensation and transparency drives creator loyalty
- Cultural Intelligence: Deep understanding of India's linguistic and regional diversification
- Integrated Ecosystem: Seamless flow from shaping creative work to distribution and consumption
- Ethical AI: Responsible technology use built to enable human-centred values.

Critical Success Factors:

- Excellence in execution on any technology development and deployment
- Partnerships with strategic streaming platforms, telcos and brands
- Continuous innovation in both content discovery and personalization
- Well-crafted governance to build trust with relevant stakeholders
- Patient capital that is focused on long-term value and not short-term profit

SAREGAMA is envisioned to be viewed not merely as a content owner, but rather the critical nucleus of the music economy in India, sustainably delivering value for generations to come whilst democratizing access to both invaluable heritage and.

Future plan of action:

- Surfaces comprehensive technical specifications and MVP definitions (Months 1-3)
- Pilot program with 100 artists/10,000 beta testers (Months 4-6)
- Phased rollout with iterative enhancements (Months 7-12)
- Scaling to 5 million users with continuous improvement towards hard unit economics (Year-2)
- Further geographic growth, building in deeper geographic engagement and advanced features (Year-3+)

The construction of this ecosystem setup lays out a complete roadmap for SAREGAMA's digital transformation potential, while securing the company as a dominant player into the future in music entertainment in India.